In the Matter of Interest Arbitration between:	)	
	)	
Policemen's Benevolent Labor Committee	)	ILRB Case Numbers:
	)	
and	)	S-MA-21-273
	)	S-MA-21-274
City of Quincy, Illinois	)	

Hearing Date	May 1, 2023
Appearances:	
For the Union	SHANE VOYLES PBLC 840 South Spring Street, 1st Floor Springfield, IL 62704
For the City	ROY CARLSON Ancel Glink 140 South Dearborn Street, 6th Floor Chicago, IL 60603
Date of Award	August 21, 2023
Impartial Arbitrator	MICHAEL A. WOJCIK

An interest arbitration hearing was held on May 1, 2023, at the City Hall in Quincy, Illinois. Pursuant to the Illinois Public Labor Relations Act, the hearing was held before an Impartial Arbitrator. At the hearing, the parties presented sworn testimony and offered documentary exhibits into evidence. A court reporter made a verbatim transcript of the hearing. The parties filed post-hearing briefs which were received and exchanged by the Arbitrator on June 30, 2023, at which time the record was closed.

PROCEEDINGS AND STIPULATIONS

This is an interest arbitration under Section 14 of the Illinois Public Labor Relations Act (Act) to determine resolution of disputed terms of the successor Collective Bargaining Agreements (Agreements) between the Policemen's Benevolent Labor Committee, Local Unit 12 (the Union) and the City of Quincy, Illinois (the Employer or the City). The existing Agreements expired on April 30, 2021. Employees represented by the Union and subject to the provisions of the Agreements are Patrol Officers and Supervisors.

As a result of the parties' inability to reach agreement on the disputed terms, resolution of the matter was submitted to the interest arbitration procedures of the Act. The parties selected the undersigned to serve as the neutral sole arbitrator for the interest arbitration.

At the hearing, the parties agreed to ground rules and stipulations. Included in the ground rules and stipulations are the Arbitrator's authority, the issues remaining at impasse and the respective final offers of the parties. The parties further determined and stipulated that all of the issues remaining at impasse are deemed "economic" within the meaning of Section 14(g) of the Illinois Public Labor Relations Act and which require that the Arbitrator must choose either the Employer's final offer or the Union's final offer.

The following represents the remaining and final list of disputed issues to be resolved by the Arbitrator:

a) Holidays
b) Health Insurance
c) Wages and Contract Duration

All other provisions remain as presented in the existing Collective Bargaining Agreements.

STATUTORY CRITERIA

The Illinois Public Labor Relations Act mandates certain requirements in interest arbitration cases. Section 14 (h) of the Act sets forth the factors to be considered in these cases:

(h) Where there is no agreement between the parties, ... the arbitration panel shall base its findings, opinions and order upon the following factors, as applicable:

(1) The lawful authority of the employer.

(2) Stipulations of the parties.

(3) The interests and welfare of the public and the financial ability of the unit of government to meet those costs.

(4) Comparison of the wages, hours and conditions of employment of the employees involved in the arbitration proceeding with the wages, hours and conditions of employment of other employees performing similar services and with other employees generally:

(A) In public employment in comparable communities.

(B) In private employment in comparable communities.

(5) The average consumer prices for goods and services, commonly known as the cost of living.

(6) The overall compensation presently received by the employees, including direct wage compensation, vacations, holidays and other excused time, insurance and pensions, medical and hospitalization benefits, the continuity and stability of employment and all other benefits received.

(7) Changes in any of the foregoing circumstances during the pendency of the arbitration proceedings.

(8) Such other factors, not confined to the foregoing, which are normally or traditionally taken into consideration in the determination of wages, hours and conditions of employment through voluntary collective bargaining, mediation, fact-finding, arbitration or otherwise between the parties, in the public service or in private employment.

Additionally, with respect to each economic issue in dispute, the Arbitrator is required to adopt the final offer of one of the parties. With respect to each non-economic issue, the Arbitrator may adopt the final offer of one of the parties or may render an alternative resolution.

COMPARABLES

The parties have stipulated that the following communities are to be considered as comparable to the City of Quincy for purposes of this proceeding:

Alton
Belleville
Collinsville
East Moline
Galesburg
Moline
Pekin

FINAL OFFERS AND DISCUSSION

The following identifies the final offers of the parties as presented during the hearing.

Holidays - Article VIII (Patrol) and Article VII (Supervisors) – Section 2

Union's Final Offer

Add the following language to Section 2:

No paid leave granted under Section 1 of this article may be deducted from employees for not being scheduled to work on a holiday.

City's Final Offer

Status Quo

Discussion and Decision

The Union has offered arguments supporting their position on the issue and the Arbitrator has summarized them as follows. The Union contends:

1) The Union's proposal codifies how the City currently administers the contractual holiday benefit.
2) The Union's proposal is intended to protect the statutory bargaining rights of the Union.
3) The Union's proposal is not a "breakthrough" proposal as suggested by the City.
4) The Union's proposal is more reasonable.

The City has offered several arguments supporting their position on the issue and the Arbitrator has summarized them as follows. The City contends:

1) The Union has proposed contract language to address an issue that does not exist and is not happening.
2) There is no evidence to indicate that any members of the bargaining unit have been negatively impacted by the current contract language.
3) There is no record of any grievances being filed regarding the current holiday provisions.
4) The City's proposal to remain status quo is more reasonable.

The Union has suggested that there is a definite to need to add this sentence to the existing language in the CBA because the Union believes the City wants to change how the provision has been administered. The Union supports their position and belief on the basis that the City had offered a proposal during negotiations that expressed a desire to modify the existing language in the CBA.

While the City did indeed offer a proposal to change the language of this Section during negotiations, the Union rejected the proposal. In response to the Union's rejection, the City withdrew their proposal in it's entirety. There is no evidence to indicate that there were any additional discussions between the parties related to the issue. In withdrawing their proposal, the City has suggested that the language in Section 2 of the Article remain status quo.

There is no evidence presented to suggest that the existing language has caused conflict between the parties in the past. There is no evidence that any member of the bargaining unit has been adversely affected by the administration of Section 2 under the current contract language, and there is no evidence of any grievances being filed by the Union related to the administration of Section 2 under the current contract language.

The parties have stipulated that this issue is economic in nature and the Arbitrator must choose either the Employer's final offer or the Union's final offer. As a result, and for the reasons above, the Arbitrator finds in favor of the City. The current language in the CBA for Section 2 of Articles VIII (Patrol) and Article VII (Supervisors) shall remain unchanged.

Health Insurance - Article XX (Patrol) and Article XVII (Supervisors)

Union's Final Offer

Change the language in Section 3 to read as follows:

Following the date of Arbitrator Wojcik's Award in S-MA-21-273 & S-MA-21-274, any change to health insurance benefit levels must be bargained with the Union to the fullest extent required under Sections 4 and 7 of the Illinois Public Relations Act.

City's Final Offer

No change to existing language in Sections 1-4 and add Section 5 as follows:

Upon retirement or separation with more than five years of service with the City, an employee's accrued sick time will be purchased by the City as required herein and the monies deposited into the employee's HSA account based on the pre-determined fixed amount (either a dollar or a fixed percentage). The annual contribution amount for the sick pay buyback must be a fixed amount for all employees each calendar year. The Union can modify the contribution amount annually. In November the Union must determine this fixed dollar or fixed percentage amount to be in effect for the following calendar year. The Union will then communicate this amount to the City's Human Resource Department and City Comptroller via a memo by December 1 every year. If no memo is received, then the previous year fixed amount will remain in effect.

Discussion and Decision

The Union has offered arguments supporting their position on the issue and the Arbitrator has summarized them as follows. The Union contends:

1) The Union is proposing the new language because the City has changed health insurance benefit levels twice without bargaining any of the changes while the interest arbitration was pending.
2) The City failed to meet its responsibility under the CBA by not giving the Union the required 60 days' notice before implementing changes to the health insurance benefits.
3) The Union's proposal is intended to protect the Union's statutory bargaining rights and affirms the City's already existing statutory obligation to bargain over the mandatory topic of health insurance.
4) The City wrongly believes that the current CBA language waives the Union's statutory right to bargain over employee health insurance benefits.
5) The Union's proposal is more reasonable.

The City has offered several arguments supporting their position on the issue and the Arbitrator has summarized them as follows. The City contends:

1) The City's proposal regarding the Health Savings Account (HSA) provides an excellent retirement benefit to employees.
2) The Union's proposal to add new language regarding health insurance is unreasonable and was made after bargaining concluded.
3) There is no evidence that the parties conducted any bargaining over the Union's proposed change to the contract language.
4) The Union's proposal is a breakthrough proposal.
5) The Union has the ability to address issues related to health insurance through the grievance process.
6) The City's proposal to remain status quo is more reasonable.

The Union proposes to change the language in Section 3 of Article XX (Patrol) and Article XVII (Supervisors) to ensure that the City complies with Sections 4 and 7 of the Illinois Public Relations Act. The Union believes that their proposed language in Section 3 is necessary because of the City's failure to give the required 60 day notice prior to making changes to the employees' health insurance benefits. The Union further argues that their proposed language is intended to protect the Union's statutory bargaining rights of employee benefits.

The City, on the other hand, wants the language in Sections 1 through 4 to remain unchanged and proposes an additional Section 5 that provides employees (upon retirement or termination) with a new opportunity to deposit some portion of their accrued sick time to a Health Savings Account. In addition, the City believes that the Union already has the contractual authority to address issues related to health insurance through the grievance process and there is no need for changing the language in Section 3.

While there is evidence to show that the City violated the CBA by not adhering to its responsibility to provide the required 60 Day notice prior to making changes to the health insurance benefits and there were some minor issues during the implementation period, there is no evidence to suggest that any employees experienced major issues or problems which were not resolved early-on during the transition period. There is no evidence to indicate the new health insurance benefits have diminished, and there is no evidence to suggest that the administration of the new health insurance benefits is causing on-going concerns or problems for employees. In addition, the Arbitrator agrees with the City and believes that changing the language of Section 3 is unnecessary, since the CBA provides the opportunity for the Union to address issues related to employee benefits through the grievance process.

The parties have stipulated that this issue is economic in nature and the Arbitrator must choose either the Employer's final offer or the Union's final offer. As a result, and for the reasons above, the Arbitrator finds in favor of the City. The current language in the CBA for Sections 1 through 4 of Articles XX (Patrol) and Article XVII (Supervisors) shall remain unchanged and the City's proposal of Section 5 will be added.

Wage Schedule – Article XXIII (Patrol) and Article XXI (Supervisors)

Union's Final Offer

The Union proposes to increase the amounts reflected on the current wage table(s) by the following annual percentages, which are fully retroactive and which shall be applied to individuals who entered the pension fund on or after May 1, 2021, but shall not be applied to individuals who have severed employment before eligible to retire:

2021-2022	2022-2023	2023-2024	2024-2025
2.75%	3.5%	3.5%	3.5%

Additionally, the patrol unit proposes to implement a year 25 step on the pay scale that is 1% higher than the 20 year step.

City's Final Offer

Effective May 1, 2021 2.75% across the board increase to currently existing step system
Effective May 1, 2022 2.75% across the board increase to currently existing step system
Effective May 1, 2023 3.0% across the board increase to currently existing step system

Effective May 1, 2021 in Article 23 of the Patrol Contract, there would be a new step for 25 years of service that is 1% higher than the current 20 year top step. Status Quo for the Command Center.

Discussion and Decision

The Union has offered arguments supporting their position on the issue and the Arbitrator has summarized them as follows. The Union contends:

1) The City has not indicated that it is "unable to pay" the wage increases proposed by the Union.
2) The City's proposal for wages is significantly lower than the cost of living for 2021, 2022 and 2023.
3) While the Union was originally willing to accept the City's proposal on wages in December, 2021, the City decided to make unilateral changes to the employees' health insurance benefits. As a result of the City's actions, the Union informed the City that there was no longer an agreement on wages.
4) The Union's proposal for wages better addresses and counters record-high inflation.

5) The Union's proposal more closely aligns with external comparable communities.
6) The Union's proposals for wages and contract duration are more reasonable and provide stability to the bargaining relationship between the parties; and will not require the parties to return to the bargaining table in five months to begin negotiations on a new collective bargaining agreement.

The City has offered several arguments supporting their position on the issue and the Arbitrator has summarized them as follows. The City contends:

1) The Union's proposal on wages and contract duration is inconsistent with other bargaining units within the City.
2) External comparability favors the City's proposal as the relative ranking position of the employees remains unchanged with respect to comparable communities.
3) The City believes the parties had a "meeting of the minds" and reached a tentative agreement with respect to the wages reflected in the City's wage proposal and that the Union had confirmed it's agreement on at least two occasions.
4) The parties had no additional negotiations regarding wages after reaching a tentative agreement.
5) The Union has provided no "quid pro quo" to support their enhanced wage demands.
6) The City's wage increase proposals are more reasonable.

While the parties wage proposals differ, there are points of agreement. The proposals are the same with respect to the first year wage increase of 2.75% (year 2021-2022) and the addition of a new step in the Patrol Contract for officers with 25 years of service that is 1% higher than the current 20 year top step (Article 23). In addition, the City has stipulated that it accepts the Union's position with respect to eligibility and retroactivity.

The proposals, however, differ with respect to the wage proposals for subsequent years. The City proposes wage increases of 2.75% and 3.0% in contract years 2022-2023 (Year 2) and 2023-2024 (Year 3). The Union proposes wages increases of 3.5% and 3.5% in contract years 2022-2023 (Year 2) and 2023-2024 (Year 3) and proposes an additional wage increase of 3.5% in contract year 2024-2025 (Year 4). The inability to reach agreement on wages in contract years 2022-2023 (Year 2) and 2023-2024 (Year 3) and the Union's proposal for the additional contract year of 2024-2025 (Year 4) has resulted in the impasse on wages.

As a result, the issue facing the Arbitrator is to determine which wage proposal is more reasonable when evaluated under the statutory criteria of the Illinois Labor Relations Act. While there are several factors identified in the Act which can be considered, the Act provides that the Arbitrator "shall base its findings, opinions and order" on the factors the Arbitrator determines as applicable. The Act does not require the Arbitrator to evaluate all factors. As a result, the Arbitrator can determine which factor (or factors) is most relevant and to what extent the weight of that factor (or factors) should be applied in reaching a final decision.

The City has not offered any evidence to indicate that the City is "unable to pay", or that the City would experience a financial hardship under the Union's wage proposal.

The City has expressed an interest in maintaining consistency within City bargaining units for both wage increases and contract durations. While the Arbitrator understands the positive benefits that this consistency would provide to the City, the Arbitrator is unwilling to accept the City's position because it restricts the Union's ability to negotiate on behalf of the needs and expectations of its membership, thereby limiting the Union to only the gains obtained by other City bargaining units.

Evaluation of external comparability, in the opinion of this Arbitrator, provides no favorability to either party.

As a result, in evaluating the wage proposals in this particular case, the Arbitrator has deemed the uncertainty of the economy and the issue of inflation to be the most significant factor affecting the decision regarding which wage proposal is more reasonable and should be adopted in the CBA.

However, prior to evaluating the parties' wage proposals and rendering a decision, the Arbitrator must address the issue regarding whether or not there was a tentative agreement between the parties on wages. The City suggests that the parties had reached a tentative agreement on wages as represented in the City's wage proposal. The Union suggests that, while at some point in the negotiations the Union had agreed to the City's wage proposal, the Union later rejected the wage proposal when the City decided to change employee health insurance benefits. The Union further suggests that at no time during the negotiations did the parties formally document and exchange a tentative agreement that included agreement on wages. While the Union had initially accepted the wage proposal of the City, the City's decision to make changes to employees' health insurance benefits resulted in a disruption and delay of contract negotiations. This delay prevented the parties in reaching a final agreement on wages and resulted in the Union's revised final offer wage proposal.

The Arbitrator agrees with the Union's position. It is the Arbitrator's opinion that the parties did not have a tentative agreement. Therefore, absent a tentative agreement, it was acceptable for the Union to submit their new wage proposal which included the additional contract year of 2024-2025 (year 4).

As stated earlier, the Arbitrator has determined that the uncertainty of the economy and inflation is the most significant factor affecting the decision of which of the parties' wage proposals is more reasonable and should be adopted in the CBA.

The Arbitrator has selected the "Bureau of Labor Statistics, CPI-U – Midwest" as the measuring stick for inflation. For the period from May, 2021 to May 2022, the change in the CPI-U resulted in an inflation rate of 8.8%. For the period from May 2022 to May, 2023, the change in CPI-U resulted in an inflation rate of 3.6%. Therefore, for the two year period from May, 2021 to May 2023, the CPI-U increased by a compounded rate of 12.7%. The corresponding compounded wage increases in the parties' wage proposals for that same two year period are 6.3% in the Union's proposal and 5.6% in the City's proposal. In each instance, the cumulative wage proposals for the two year period are significantly below the 12.7% increase in the CPI-U for the same period. As a result, the Union's proposed wage increase of 3.5% for 2022-2023 (Year 2) is more reasonable.

With respect to forecasts for inflation and in order to evaluate the wage proposals in years beyond 2023, the Arbitrator has selected the most recent data from the Survey of Professional Forecasters (dated May 12, 2023). For the last two quarters of 2023, the Survey suggests that the Core CPI (on an annualized basis) is expected to be 3.6% in the third quarter and 3.1% in the fourth quarter. Current forecasts for the first two quarters of 2024 indicate the Core CPI to average about 2.85% (on an annualized basis). Utilizing this data, it appears to the Arbitrator, that the forecasted Core CPI for the period from May, 2023 to May 2024 (Year 3) will be approximately 3.1%.

The City's wage proposal for the period from May 2023 to May 2024 (Year 3) is 3.0% and slightly lower than the forecasted Core CPI of 3.1%. The Union's wage proposal of 3.5% for the same period is higher than the forecasted Core CPI of 3.1%. In this Arbitrator's opinion, while both parties' wage proposals are somewhat aligned with the forecast, the Union's proposal is slightly more reasonable. Although, the Union's proposal exceeds the forecasted Core CPI for the period, it reduces the overall wage deficit which occurred during the high inflation period of 2021-2023.

While quarterly forecasts for the remaining two quarters of 2024 are not available, the annual averages forecasted for the years 2024 and 2025 indicate that the Core CPI-U is expected to be in the range of 2.5%. The Union has proposed a 3.5% wage increase for May 2024-2025 (Year 4). The City has not proposed a wage increase for May 2024-2025 (Year 4) and would rather wait to discuss wages for the period of May 2024-2025 when the next contract opens for negotiations.

The Union's proposal of a 3.5% wage increase for May 2024-2025 (Year 4) is higher than the forecasted CPI-U range of 2.5% for the same period. However, over the four year period (2021-2025), the growth in wages under the Union's proposal is

13.9%. During the same four year period, actual (CPI-U) and forecasted CPI is 19.1%. While still resulting in a projected overall wage deficit for employees of approximately 5% during the four year period (2021-2025), the Union's wage proposal, with the addition of Year 4, has a positive impact on reducing the overall wage deficit caused by the high inflation experienced during the period of May 2021 to May 2023.

In addition, the Arbitrator believes that the additional contract year proposed by the Union will be beneficial to the bargaining relationship between the parties. The additional year will provide some "breathing room" before needing to enter into another period of contract negotiations and would also allow for a better view of the economy and inflation. If the Arbitrator were to accept the City's 3-year wage proposal, the Arbitrator would be sending the parties back to the negotiating table in a relatively short time. The Arbitrator does not see that as a reasonable solution at this time or a benefit to the longer term relationship of the parties.

The parties have stipulated that this issue is economic in nature and the Arbitrator must choose either the Employer's final offer or the Union's final offer. As a result, and for the reasons stated above, the Arbitrator finds that the Union's wage proposal is more reasonable. The Union's wage increase proposal is adopted.

Termination – Article XXXVII (Patrol) and Article XXXV (Supervisors)

Union's Final Offer

The Union proposes that the termination and notice dates of this article shall coincide with the wage offer awarded by the Arbitrator, if the parties' wage offers differ with respect to how many years offered.

City's Final Offer

The City's final offer does not specifically address the issue of a termination date for the Collective Bargaining Agreement. However, the Parties have agreed that the termination date of the CBA will coincide with the Arbitrator's Award as it relates to the decision on wages.

Discussion and Decision

As indicated, the parties have agreed that the termination date of the CBA shall coincide with the wage schedule as awarded by the Arbitrator. Because the Arbitrator has decided in favor of the wage proposal of the Union the termination of the Collective Bargaining Agreement shall be April 30, 2025.

AWARD

After a careful and thorough review of the evidence and testimony presented at the hearing, an evaluation of the parties' positions on the disputed issues and full consideration of all pertinent and required statutory factors, the Arbitrator summarizes his findings as follows:

Holidays - Article VIII (Patrol) and Article VII (Supervisors) – Section 2

For the City

Health Insurance - Article XX (Patrol) and Article XVII (Supervisors)

For the City

Wage Schedule – Article XXIII (Patrol) and Article XXI (Supervisors)

For the Union

Termination – Article XXXVII (Patrol) and Article XXXV (Supervisors)

For the Union

I also order that the substance of the above findings is to be incorporated into the parties' Collective Bargaining Agreement, along with all tentative agreements previously reached by the parties and agreed to be included in this Award.

In the event the parties require clarification or assistance in implementing this award, the Arbitrator will retain jurisdiction for a period of at least thirty (30) days from the date of this award.

Dated: August 21, 2023

Michael A. Wojcik

MICHAEL A. WOJCIK
ARBITRATOR